

$$\frac{6.5}{1.20} + \frac{6.5}{(1.20)^2} + \frac{6.5+459.60}{(1.20)^3} = \text{Rs. } 279.66$$

The company's share price at Rs. 465 was thus nearly 67% above its intrinsic value and on the basis of this submission should be sold.

The price of a 100% export oriented unit on 31 May 2010 was 160. Its profit in the year to 31 March 2010 had grown by 60% to Rs. 17.88 crore. Its earnings per share at Rs. 10.26 was an improvement of 23%. If we assume that in the next 2 years its EPs will grow by 20%, the EPS at the end of 2 years would be Rs. 14.77. At a P/E of 15, its market price at the end of 2 years would be Rs. 221.55. In 2010, the company paid a dividend of 25%. On the assumption that the dividend of 25% will be maintained in 2011, and that it will rise to 30% in 2005, its intrinsic value on an expected return of 20% would be:

$$\frac{2.5}{1.2} + \frac{3.0 + 221.55}{(1.2)^2} = \text{Rs. } 158.02$$

Its intrinsic value of Rs. 158.02 was very close to the market value of Rs. 160.

If however, one expects a return of 25% as that export oriented unit is a relatively new company, the intrinsic value would be:

$$\frac{2.5}{1.25} + \frac{3.0 + 221.55}{(1.2)^2} = \text{Rs. } 145.71$$

At an expected return of 25%, the market value of Rs. 160 was higher than the intrinsic value of Rs. 145.71 and the share should be sold.

The subjective assumptions made in arriving at the intrinsic value results in the intrinsic value of a share being different for different individuals. In the example detailed above, the intrinsic value of that company share would be Rs. 158.02 for an investor who expects a return of 20%, whereas it would be Rs. 145.71 for an individual expecting a return of 25%. The other assumptions too are subjective, i.e. the expected price at the end of a period, and the anticipated dividends during the period.

This method, however, is extremely logical. It considers the dividends that will be paid and the likely capital appreciation that will take place.